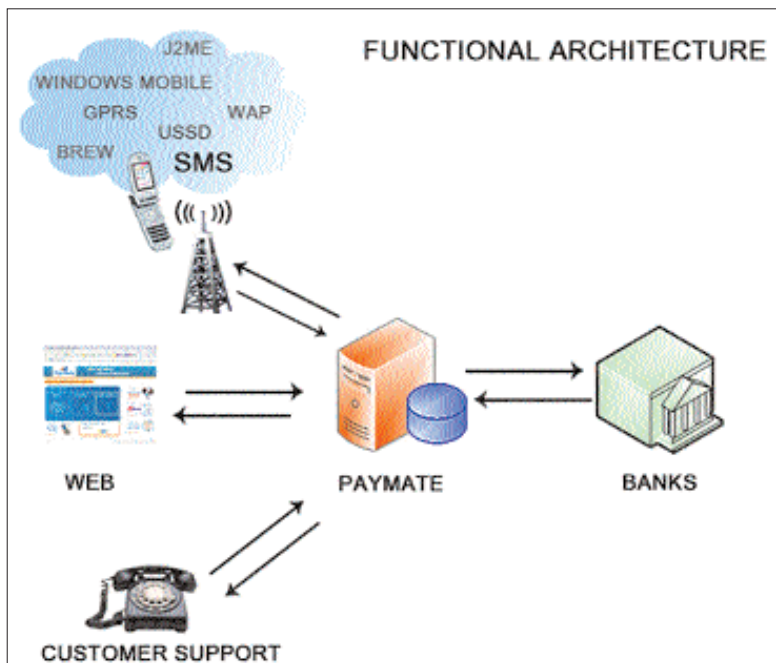




A dumbed-down look at all that goes on in and around PayMate—from the collaboration with the banks to interacting with your cell phone

for each transaction. It is sent you with the payment request message. If the message is not replied to within three minutes, the transaction process has to be restarted.

The SMS of the payment to the PayMate-accredited merchant is received by the bank, which debits the account after the phone number is verified. For completion of the transaction, a confirmation SMS is sent to both customer and merchant.

The PayMate service is free, and no monthly or yearly charges are levied. Customers are charged only by the mobile service provider for the SMS. Currently, the ceiling for transactions has been set to Rs 5,000 per transaction and Rs 10,000 per day. A certain percentage of the transaction is paid to PayMate by the accredited merchant as a fee.

Safety And Security

The payment model of PayMate has been prepared in accordance with the security recommendations by Ernst & Young, a firm involved in accounting and professional advisory services. An individual has to reveal his or her credit card details only once—while registering with PayMate. (For all payment transactions with merchants, only the mobile number is required—no confidential information needs to be disclosed.)

If the individual's phone is lost, the bank as well as PayMate are to be informed so as to disable any transactions through that mobile

The solution is safe, since no credit card details are disclosed throughout the transaction

number. The solution is safe, since no credit card details are disclosed between either of the parties throughout the transaction. Even for a PIN number change, the details go to the bank's and PayMate's servers.

The Future Of Mobile Commerce

As per the Mobile Value Added Services report prepared by IAMAI (Internet and Mobile Association of India) and IMRB International, the Mobile Value Added Services Industry will worth about \$1 bn (Rs 4,560 crore) in 2007.

"At present, our services are at very nascent stage, and we look forward to develop this mobile commerce ecosystem. Shortly, we'll roll out more services and solutions based on our experiences and learning over time. Our next target is the retail industry, which is the next big thing. From our end, an EDC Machine will be given to the accredited merchants, where they can key in the mobile number and the amount, which prevents any disclosure of the credit card details of the customer. The device is almost ready and will be rolled out within a few weeks," informs Adiseshann.

Collaboration with merchants from different industry verticals and services from other banks to roll out PayMate's services will be possible in near future. At present PayMate wants to develop the ecosystem—expand to various sectors where a number of merchants can provide consumers with the PayMate payment model.

Other mobile payment solutions are available, too, like Itz cash card and JiGrahak. Intrex India offers the Itz cash card, by which anyone can make payments for online retail and offline merchants and even telecom service providers. The card is pre-loaded with a certain cash amount, with an account number and a PIN. JiGrahak is a service for which software has to be downloaded to the phone; one can then feed bank account or card (debit/credit) details and then select a payment option for transactions with PayMate-accredited merchants.

In Conclusion

"Mobile payment solutions are in their infancy and a lot of companies are looking at different solutions to deliver safe and secure payment solutions on the mobile. As more and more players invest in technology and innovative solutions, this could be a good payment option for consumers in the near future," says Agarwal.

Some wonder about the point of using a mobile as a wallet: why not just use credit cards—the security standpoint apart? Well, what about when you've just got pizza delivered and you don't have cash... the delivery boy isn't carrying around a card-swiping machine with him, is he?

To buy movie tickets, shop at malls, pick up CDs, book air tickets, donate to a temple, or enter into any transaction at all for that matter, mobile payment is gradually being made available—a tangible sign of the state of m-commerce in the country. ■

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